As the Sino-Indian situation deteriorated in summer 1962, the State Department thought Delhi might ask for military aid at some point. And Washington would need "flexibility" with Rawalpindi to be able to help India. The relationship with Pakistan was valuable, but South Asia officials at the State Department asserted that "India is of such importance that little or no consideration can be given to a major retrogressive change in U.S. policy toward it."[213] Thus Rusk and Assistant Secretary George McGhee prepared the ground, arguing (to little effect) that Pakistan should prefer the West to be India's source of military supply. The Pakistan ambassador dismissed the need, citing Soviet comments to them that India was exaggerating the Chinese challenge to elicit American aid.[214]

Military Supply

American officials, however, had a different perspective on the China threat and consequently the military supply question. Initially, when Kennedy had taken office, policymakers had decided not to act on the Eisenhower Defense Department proposals to supply India until the administration's larger assistance policy had been formulated.[215] Galbraith and Deputy Secretary of Defense Roswell Gilpatric had reiterated the need to maintain the orientation of India's military leadership toward the West, particularly given concerns about Krishna Menon's influence as defense minister and his preference for the Soviet option. But two key obstacles to selling major equipment to India had remained: Indian concerns about in-country monitoring that the supply of some military equipment would require, and the likelihood that, if the US sold equipment on a competitive basis (e.g., by allowing payment in rupees), India would be classified as a recipient of military aid or an ally—which would raise serious concerns in Delhi.[216]

The administration had deferred action, but the subject had reemerged because of the US delivery of twelve F-104s to Pakistan in August 1961. Along with the Chinese threat, this spurred some interest in India in acquisitions from the US. The Indian foreign secretary had asked Indian army chief General Pran Nath Thapar, who had been visiting the US, if defense officials had mentioned their willingness to give or sell military equipment to India. Thapar had said no, but pointed out that in the past India had not welcomed suggestions of this kind.[217] At the same time, Krishna Menon had been looking to Moscow for aircraft, as well as an